GOVERNMENT OF INDIA
MINISTRY OF FINANCE
INCOME TAX DEPARTMENT
OFFICE OF THE PRINCIPAL COMMISSIONER OF INCOME TAX-3
BENGALURU

Name of the assessee	:	Udaharan Infra Projects LLP
Address	:	No. 7, Example Layout, Fictional Main Road, Bengaluru - 560 000 (fictitious)
PAN	:	AAFFU1234K
Assessment Year	:	2023-24
Order sought to be revised	:	u/s 143(3) r.w.s. 144B dated 18/12/2024
Date of order	:	27/10/2026
DIN & Order No.	:	ITBA/REV/F/REV5/2026-27/1099999701(1)

ORDER UNDER SECTION 263 OF THE INCOME-TAX ACT, 1961

1. The assessee is a limited liability partnership engaged in civil construction and real estate development. The return of income for A.Y. 2023-24 was filed on 30.10.2023 declaring total income of Rs.1,42,60,000/-. The assessment was completed u/s 143(3) r.w.s. 144B of the Income-tax Act, 1961 ('the Act') on 18.12.2024, accepting the returned income.

2. On examination of the assessment records, it is seen that the assessment order is erroneous in so far as it is prejudicial to the interests of the revenue on the following issues:

   (i) Sub-contract expenses of Rs.32,40,000/- paid to three parties were allowed without any verification, although notices u/s 133(6) issued to those parties were returned unserved.

   (ii) Plots of land held as stock-in-trade were sold for a consideration lower than the stamp duty value by Rs.14,75,000/-, and the AO did not examine the applicability of section 43CA.

   (iii) Interest of Rs.6,80,000/- on borrowed funds was allowed u/s 36(1)(iii) although interest-free advances were given to the partners out of the same funds.

3. Accordingly, a show-cause notice u/s 263 dated 14.08.2026 was issued, giving the assessee an opportunity of being heard. The assessee filed replies dated 05.09.2026 and 22.09.2026.

4. The assessee submitted that all details were furnished during the assessment, that the AO had taken a possible view after due application of mind, and that a mere difference of opinion cannot justify revision u/s 263.

5. **Findings**

5.1 On issue (i), the assessment record shows no enquiry on the sub-contract expenses of Rs.32,40,000/- after the notices u/s 133(6) were returned unserved. The AO accepted the claim without verification.

5.2 On issue (ii), the difference of Rs.14,75,000/- between the stamp duty value and the consideration was apparent from the sale deeds on record, but the AO made no enquiry under

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section 43CA.

5.3 On issue (iii), the AO did not examine whether the interest of Rs.6,80,000/- related to funds diverted to the partners free of interest.

5.4 The order was passed without making the enquiries that should have been made. By virtue of clause (a) of Explanation 2 to section 263, such an order is deemed to be erroneous in so far as it is prejudicial to the interests of the revenue. Both conditions of section 263 are therefore satisfied: the order is erroneous, and it is prejudicial to the interests of the revenue.

6. **Directions** - In exercise of the powers u/s 263, the assessment order dated 18.12.2024 is set aside on the issues mentioned in para 2 above, and the AO is directed to make a fresh assessment on those issues after making the necessary enquiries and giving the assessee a reasonable opportunity of being heard.

7. This order is passed within the time allowed by section 263(2) of the Act.

Sd/-
(C. D. Sample)
Principal Commissioner of Income Tax-3
Bengaluru

Copy to:

1. The assessee
2. The Assessing Officer, DCIT, Circle 3(1), Bengaluru
3. Guard file

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